IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P (CAA) No. 83/BB/2017
U/S 230 to 232 of the Companies Act, 2013
Order Delivered on: 27th March, 2018

IN THE MATTER OF SCHEME OF AMALGAMATION
BETWEEN
SPECTRUM INFOTECH PRIVATE LIMITED
AND
LARSEN & TOUBRO LIMITED

Coram: 1. Hon'ble Shri RatakondaMurali, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Spectrum Infotech Private Limited
L&T House, 38 Cubbon Road,
Bangalore-560001 - **Petitioner/Transferor Company**

Larsen & Toubro Limited
L&T House, Ballard Estate,
Mumbai-400001 - **Transferee Company**

Parties Present : 1) Mr. Samarth
Advocate for the Petitioner Company
2) Mrs. Sinchana M.R, Advocate
Representative for the Registrar of Companies & Regional Director

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical) – Author**

Heard on: 5.12.2017, 21.12.2017, 19.2.2018, 8.3.2018, 22.3.2018

ORDER

The Company Petition was filed on behalf of the Petitioner Company under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby Spectrum Infotech Private Limited (Petitioner / Transferor Company) being merged with Larsen & Toubro Limited (Transferee Company) so has to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner/ Transferor Company.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Company seek an order for sanctioning the Scheme of Amalgamation of Spectrum Infotech Private Limited (Petitioner / Transferor Company) with Larsen & Toubro Limited (Transferee Company).The Scheme of Amalgamation is shown as **Annexure D**.

The Petitioner / Transferor Company was incorporated on 23rd June, 1995 under the name and style as **'Spectrum Infotech Private Limited'** having its Registered office at No. L&T House, 38, Cubbon Road, Bangalore-560001 and obtained Certificate of Incorporation.

The Petitioner/Transferor Company's Objects as set out in its Memorandum of Association is "To research, design, develop, engineer, test, integrate, manufacture, install, repair, service, upgrade, trade in all kinds of electronic hardware and software particularly telecommunication products and systems but not excluding computation and control, test and measurement, audio and video, industrial, medical, defence and automobile electronic products and systems."

The Copy of the Memorandum & Articles of Association of the Transferor Company is shown in **Annexure A.**

Authorised share capital of the Petitioner /Transferor Company as stated in the petition is Rs.60,00,000/- divided in to 6,00,000 equity share of Rs, 10/- each and issued subscribed and paid up share capital of Rs. 44,00,000/- divided in to 4,40,000 equity shares of Rs.10/- each fully paid up.

The Copy of Audited Financials of the Petitioner/ transferor company as on 31st March, 2016 and is shown in **Annexure B.**

The Transferee Company was incorporated on 7th February, 1946 as a Public Company under the name and style as Larsen & Toubro Limited. The Registered office of the Transferee Company is situated at L&T House, Ballard Estate, Mumbai-400001.

The Transferee Company's Objects as set out in its Memorandum of Association inter alia, as follows:

i. To acquire and take over as a going concern the business of engineers, manufactures, merchants and agents now carried on at Bombay and elsewhere in India under the style of firm or Larsen & Toubro and all or any of the assets and liabilities of that business in connection therewith, and with a view thereto to enter into the agreement referred to in clause 3 of the Company's Articles of Association, and to carry the same into effect with or without modification.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Transferee Company is shown in **Annexure K.**

Authorised share capital of the Transferee Company as stated in the petition is Rs, 3,25,00,00,000/- divided in to 1,62,50,00,000 equity share of Rs. 2/- each and issued subscribed and paid up share capital of Rs. 1,86,59,31,606/- divided in to 93,29,65,803 equity shares of Rs.2/- each.

The Board of Directors of the Petitioner/Transferor Company and Transferee Company have approved and adopted the Scheme of Amalgamation at its meeting held on 18th January, 2017 and 28th January, 2017 respectively. The copies of Board Resolution is shown in **ANNEXURE – C & C1 respectively.**

That the Petitioner/Transferor Company has filed Company Application No.(CAA) 53/BB/2017 before this Tribunal for dispensation of the meetings of Equity shareholders and Unsecured Creditors of the Petitioner Company. The Copy of the Order of this Tribunal in (CAA) No.53/BB/2017 is shown as **Annexure- E.**

This Tribunal vide order dated 21st December, 2017 directed the Petitioner Company to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, Income Tax Authorities and Official Liquidator, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**UdayaVani**' a Kannada daily Newspaper and stating the next date of hearing 19th February, 2017.

In pursuant to the same the Counsel for the Petitioner Company has filed affidavit **dated 8th March, 2018** for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**UdayaVani**' a Kannada daily Newspaper.

The Registrar of Companies, Karnataka, Bangalore vide letter no's. ROCB/ Legal/2017/CA-53 of 2017 dated 29th December, 2017 wherein he has made some observations which are as follows:

1. There are no prosecutions, complaints, technical scrutiny/inspections are pending in this office on Transferor Company.
2. AOC-4 e form for the financial year 2016-17 has not been filed by the transferor Company.
3. As per the MCA-21 portal the Transferor Company has a charge of Rs.20,00,00,000 created on 16/3/1998 and modified on 5/6/2008 and is open as on date. Hence the transferor company may obtain no objection certificate from the creditor/charge holder, since the Hon'ble NCLT order dated 3/11/2017 has not mentioned about the secured creditors' meeting either to hold or to dispense with. (Copy of index of charges enclosed herewith)

The Registrar of Companies on behalf of Regional Director, Ministry of Corporate Affairs, South-East Region has filed affidavit dated 30th January, 2018 vide para 3 that the Tribunal may dispose off the petition stating that the Directorate has no objection to the instant scheme.

On the prayer made by the Official Liquidator in OLR no. 197/17 in CP (CAA) 83/BB/2017, vide order dated 21.12.2017 M/s. Rao & Emmar, Chartered Accountants was

appointed by this Tribunal to scrutinize the Books of Accounts and records of Petitioner/Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company to M/s. Rao & Emmar, Chartered Accountants.

The Official Liquidator has filed a Report dated 14.02.2018 in OLR.No.22/18 stating that M/s.Rao & Emmar, Chartered Accountant has submitted Report dated 14.2.2018 which is marked as **Annexure A,** wherein the Chartered Accountant has concluded in his report that:

i.) "We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii.) In our opinion proper books of accounts, papers, statutory registers, minutes and other related records as required by law have been kept by the Transferor Company so far as appears from our examinations of those books and records".

iii.) On scrutiny of books of accounts, papers, statutory registers and other related records of the company we are of the opinion that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members of the Company or public interest.

The Counsel for the Petitioner/Transferor Company has filed copy of Accounting Treatment Certificate **dated 28th November, 2017** of the Auditor stating that "Based on our examination and according to the information and explanations given to us we are of the opinion that the accounting treatment contained in Part D-1(Para (a) to (f)) of the aforesaid Scheme is in compliance with the applicable Accounting Standard notified under section 133 of the Companies Act,2013 r/w rule made there under, and other generally Accepted Accounting Principles as applicable. The Auditors Certificate on Accounting Treatment is submitted by way of Compliance memo dated 7th December, 2017.

After hearing the Counsel for the Petitioner Company and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved,

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

The Petitioner Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016 and to comply with observations of Registrar of Companies, Karnataka dated 29th December, 2017.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2017.

The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

27/3/17

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

27/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL